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Retirement and Re-employment Practices, 2010

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Notations

-	:	nil or negligible
s	:	suppressed due to small number of observations

List of Abbreviations

M&E	:	Management & Executives
R&F	:	Rank & File

HIGHLIGHTS

- More establishments are reporting that they allow employment beyond 62. The proportion of private establishments that allowed their local employees to work past 62 increased significantly from 64% in 2009 to 77% in 2010. These establishments employed 85% of local employees in the private sector, up from 77% in 2009.

- The majority or 61% of all private establishments surveyed allowed their employees to continue working on existing contracts while 17% offered re-employment. Nevertheless, more locals were employed in establishments offering re-employment (47%) than in those allowing them to continue working on existing contracts (39%). This was because large establishments were more likely to offer re-employment than the smaller ones[1].

- Satisfactory work performance and medical fitness were common criteria for re-employment, with over nine in ten private establishments with re-employment policy adopting these criteria.

- Of the private establishments with re-employment policy in 2010, 61% conducted re-employment consultation with their retiring local employees. This increased from 41% in 2009.

- About 9,900 local employees reached 62 in the year ending June 2010. A large majority or 94% of them were allowed to work beyond 62. 65% were allowed to continue working without a new contract and 30% were offered re-employment, mostly in the same job. Nearly all (96%) who were offered employment beyond 62 accepted the offer.

- More establishments had plans to retain (55%) their older employees aged 55 to 62 than to recruit new older workers (42%). A smaller proportion (23%) of private establishments had redesigned jobs to make it more suitable for older workers.

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[1] 64% of large establishments (with at least 200 employees) offered re-employment, higher than 19% for smaller establishments (with 25 to 199 employees). The latter were more likely to allow continuation of employment (56%) than the large establishments (28%).

Retirement and Re-employment Practices, 2010

1 Introduction

1.1 This report examines staff retirement and re-employment practices in private establishments. Findings are based on the Survey on Retirement and Re-employment Practices, 2010 conducted by the Manpower Research and Statistics Department of the Ministry of Manpower in the last quarter of 2010. The survey covered an effective sample of 3,100 private establishments each with at least 25 employees, achieving a response rate of 90%. Details of the survey coverage and methodology are in Appendix 1.

2 Employment of Older Workers

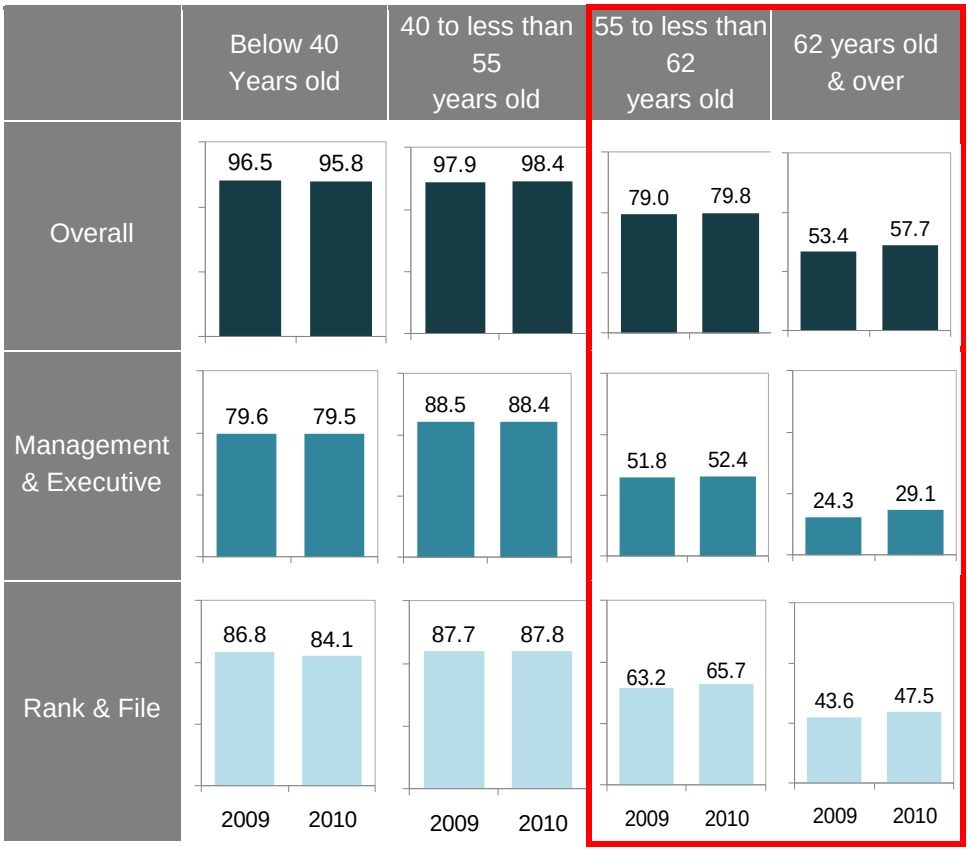
More establishments employed older workers

2.1 Employment of older workers increased in 2010. 58% of private establishments employed at least one local worker aged 62 years old & over in 2010, up from 53% in 2009. The proportion of establishments employing local workers aged 55 to less than 62 also edged up from 79% to 80%.

2.2 The increase was observed for both management & executives (M&E) and rank & file (R&F) staff. More establishments employed older staff in R&F than M&E positions, reflecting the concentration of older workers among the less educated due to limited opportunities for higher education in the earlier years (Chart 1).

Chart 1: Proportion Of Private Establishments With Mature And Older Local Employees, 2009 And 2010 (As At June)

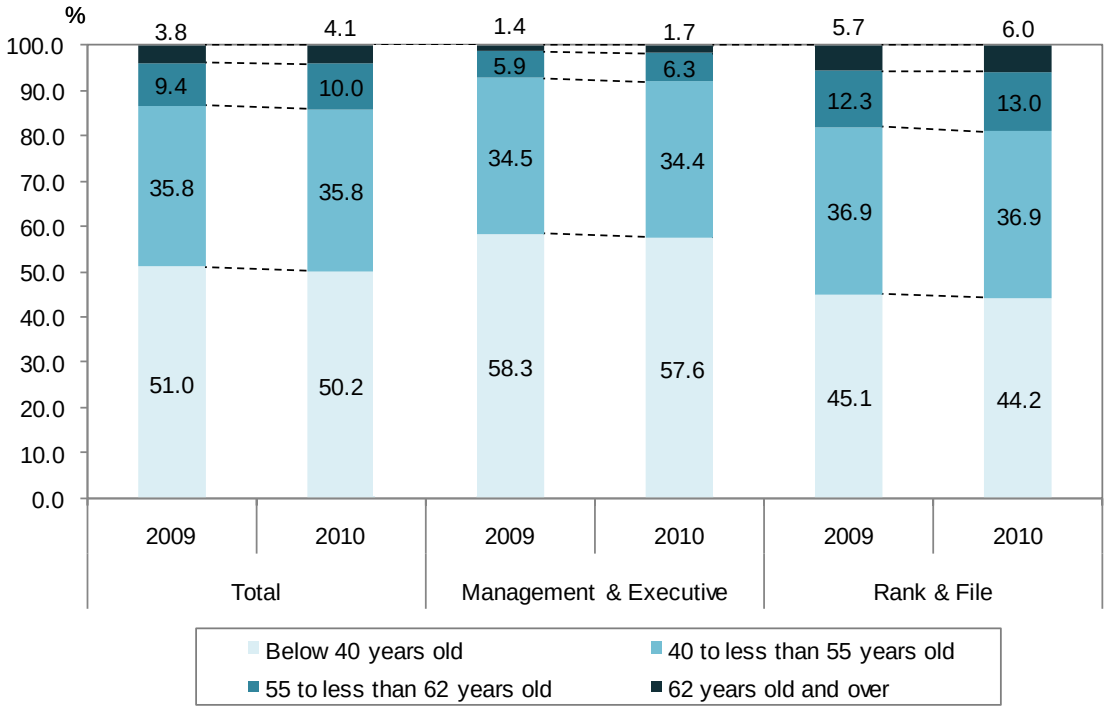
Per Cent



Note: Figures are based on all private establishments surveyed.

2.3 Overall, 4.1% of local employees in the private sector were aged 62 & above. This was an increase from 3.8% in 2009. Including those slightly younger, the share of local workers aged at least 55 years old rose to 14% in 2010 from 13% in 2009. The rising trend was observed for both M&E and R&F (Chart 2).

Chart 2: Age Distribution Of Local Employees In Private Establishments By Broad Occupational Group, 2009 And 2010 (As At June)



Notes:

(1) Figures are based on all private establishments surveyed.

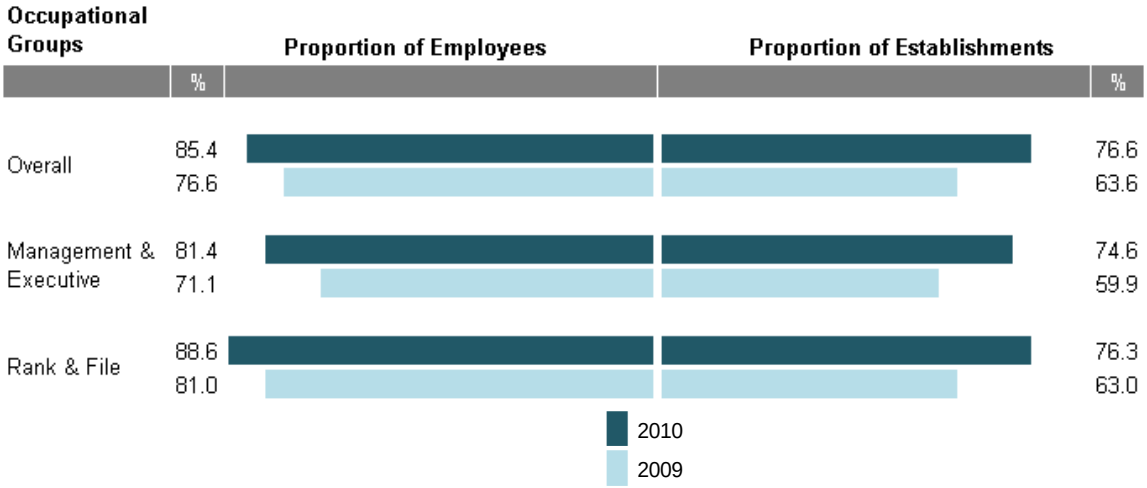
(2) Figures may not add up to total due to rounding.

3 Measures Facilitating Employment Beyond 62

More establishments reported that they allowed employment beyond 62

3.1 In 2010, 77% of private establishments reported that they had implemented measures to allow their local employees to work past the age of 62, a significant improvement from 64% in 2009. These establishments employed 85% of local employees in the private sector, up from 77% in 2009 (Chart 3).

Chart 3: Measures* Enabling Local Employees To Work Beyond The Age Of 62, 2009 And 2010 (Oct – Dec)



Notes:

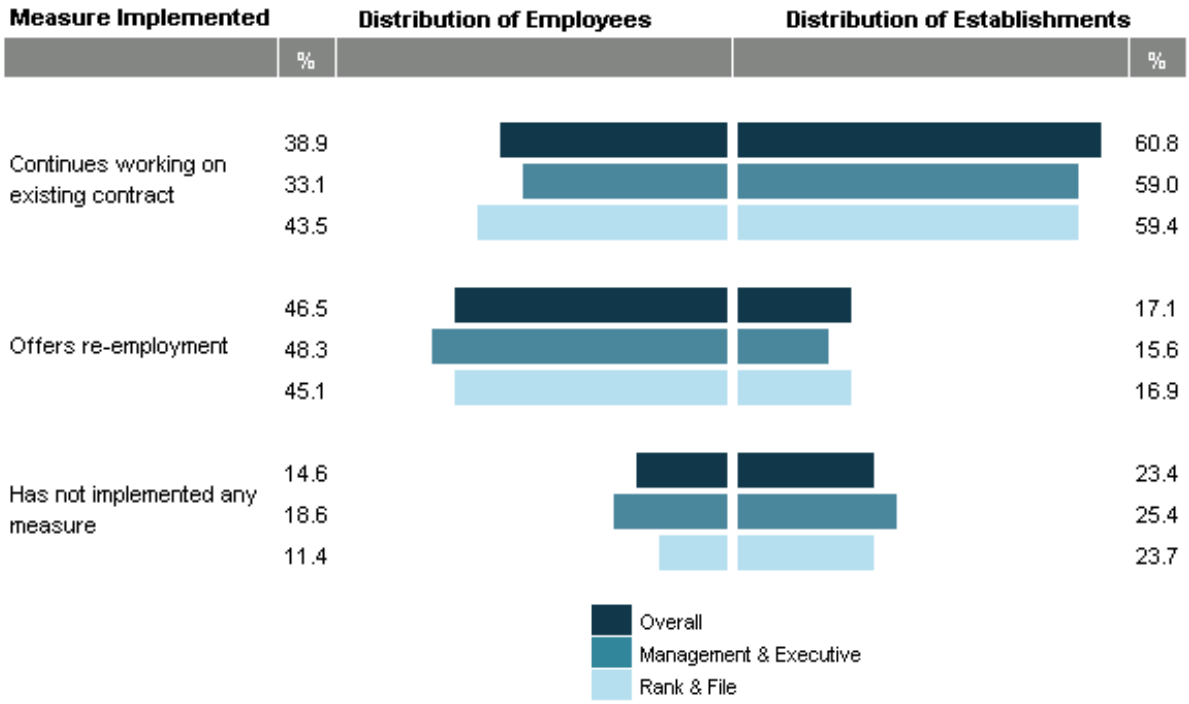
(1) The figures were based on all private establishments surveyed.

(2) *These measures include re-employment and continuation of employment on existing contract.

3.2 The majority or 61% of all private establishments surveyed allowed their employees to continue working on existing contracts while 17% offered re-employment. Nevertheless, more locals were employed in establishments offering re-employment (47%) than in those allowing them to continue working on existing contracts (39%). This was because large establishments were more likely to offer re-employment than the smaller ones[2].

[2] 64% of large establishments (with at least 200 employees) offered re-employment, higher than 19% for smaller establishments (with 25 to 199 employees). The latter were more likely to allow continuation of employment (56%) than the large establishments (28%).

Chart 4: Measures Enabling Local Employees To Work Beyond The Age Of 62, Oct – Dec 2010



Notes:

(1) The figures were based on all private establishments surveyed.

(2) Re-employment is defined as the employment of employees (excluding those on term contracts) who are aged 62 or above on a new employment contract, with or without any changes in terms and/or tenure.

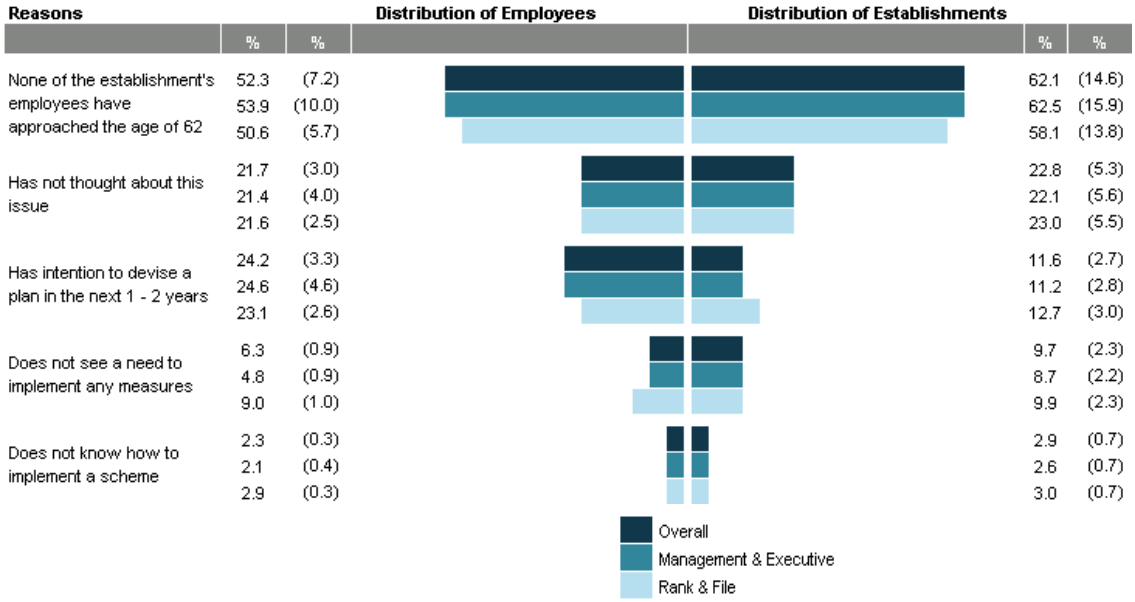
(3) Continues working on existing contract refers to the situation where there is no change to existing terms and conditions of employment.

"None of their employees are approaching 62" was the most common reason for not implementing measures

3.3 Nearly one quarter (23%) of private establishments did not implement any measures for their local employees to work beyond the age of 62, but they employed only 15% of local employees in 2010.

3.4 The most common reason for this was because none of their employees were approaching 62, with 62% of establishments citing this. A smaller proportion (23%) of establishments had not thought about the issue. The share of establishments indicating these two reasons fell from 68% and 26% respectively in 2009, along with a decline in establishments which did not see a need to implement any measures from 12% to 10%. This has occurred as more establishments (from 6.6% to 12%) reported an intention to devise a plan by 2012, when the Retirement and Re-employment Act would be implemented.

Chart 5: Reasons for Not Implementing Any Measures To Allow Local Employees To Work Beyond 62, Oct – Dec 2010



Notes:

(1) Figures are based on private establishments which have not implemented measures to allow for employment beyond 62.

(2) Figures in brackets are based on all private establishments surveyed.

(3) Figures may not add up to total as establishments could indicate more than one reason.

4 Re-employment Criteria and Incidence of Not Offering Re-employment

Satisfactory work performance and medical fitness were common criteria for re-employment

4.1 Nearly all (93%) private establishments with re-employment policy used work performance as a re-employment criterion. This consisted of 72% which required work performance to be at least satisfactory and 21% which required work performance to be better than satisfactory.

Chart 6: Criteria For Re-employment, Oct - Dec 2010

Criteria	Distribution of Employees		Distribution of Private Establishments	
Work Performance	%	%	%	%
Work performance is a criterion	97.4	(46.7)	92.9	(15.9)
Performance must be at least satisfactory[3]	82.3	(39.5)	71.5	(12.2)
Performance must be better than satisfactory[4]	15.0	(7.2)	21.3	(3.6)
Others	-	(-)	0.1	(-)
Work performance is not a criterion	2.6	(1.2)	7.1	(1.2)
	Distribution of Employees		**Distribution of Private Establishments**	
Medical Fitness	%	%	%	%
Medical fitness is a criterion	95.5	(45.8)	91.4	(15.6)
Assessed by a doctor to be medically fit	75.6	(36.3)	61.9	(10.6)
Assessed by their supervisor; medical examination required only if the supervisor is uncertain	15.2	(7.3)	20.0	(3.4)
Assesssed by their supervisor to be medically fit	3.3	(1.6)	9.5	(1.6)
Others	1.4	(0.7)	0.1	(-)
Medical fitness is not a criterion	4.5	(2.2)	8.6	(1.5)

Notes:

(1) Figures are based on private establishments offering re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) On average (median), 90% of employees in these establishments were graded at least satisfactory.
(4) On average (median), 70% of employees in these establishments were graded better than satisfactory.
(5) Figures may not add up to total due to rounding.
(6) "-": nil or negligible

4.2 Medical fitness was also a common (91%) criterion for re-employment. This mainly consisted of those which required retiring employees to be assessed by a doctor to be medically fit (62%). Another 29% indicated that the assessment was done by their supervisors (Chart 6).

A minority with re-employment policy reported instances where re-employment was not offered to eligible employees

4.3 Among private establishments with re-employment policy, 16% reported that they had cases where local employees were not offered re-employment, even though they met both the work performance and medical fitness criteria. Common reasons given by these establishments were that employees were reluctant to continue working (75%) or no suitable jobs were available (61%).

Chart 7: Reasons For Not Offering Re-employment To Eligible* Local Employees, Oct - Dec 2010

Reasons	Distribution of Employees		Distribution of Establishments	
Employee-Related	%	%	%	%
Do not want to continue working beyond the age of 62	83.8	(16.0)	75.1	(2.0)
Poor work attitude	39.5	(7.5)	38.7	(1.1)
Poor working relationships with other colleagues	21.0	(4.0)	27.1	(0.7)
Length of service was too short	1.9	(0.4)	15.6	(0.4)
Organisation-related				
No suitable job was available	68.7	(13.1)	61.0	(1.7)
Leadership renewal needed	15.6	(3.0)	16.7	(0.5)
Medical insurance coverage is not readily available	1.2	(0.2)	7.1	(0.2)

Notes:
(1) Figures are based on private establishments which reported incidence of not offering re-employment to local employees who reached the age of 62 even though he/she met the work performance and medical fitness criteria for re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total as establishments could indicate more than one reason.
(4) "*": eligible employees refer to local employees aged 62 & above who met both work performance and medical fitness criteria for re-employment.

5 Re-employment Contract

Re-employment contract commonly lasts for a year…

5.1 Eight in ten (80%) establishments with re-employment policy set the minimum duration of re-employment contract at one year and a small minority (5.3%) at more than one year. The remaining 14% offered re-employment contract of less than a year (Chart 8).

Chart 8: Distribution By The Minimum Duration Of Re-employment Contract, Oct – Dec 2010

Months	Distribution of Employees		Distribution of Establishments	
	%	%	%	%
Less than 12 months	12.5	(6.0)	14.4	(2.5)
12 months	85.2	(40.8)	80.3	(13.7)
24 months	2.0	(1.0)	4.9	(0.8)
36 months	0.3	(0.2)	0.4	(0.1)

Notes:
(1) Figures are based on private establishments offering re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total due to rounding.

.. and renewable based on the same criteria as the first re-employment contract

5.2 Nearly all (97%) private establishments offering re-employment reported that the contracts were renewable. This comprised 75% where the criteria for renewal were the same as those required in the first re-employment contract and another 20% where the criteria would be determined when the contract was expiring.

Chart 9: Criteria For Renewing Re-employment Contract, Oct – Dec 2010

Renewal of re-employment contract and its criteria	Distribution of Employees %	Distribution of Employees %	Distribution of Establishments %	Distribution of Establishments %
Re-employment contract can be renewed	99.0	(47.5)	96.9	(16.6)
Renewal Criteria				
Same as the first re-employment contract	83.6	(40.1)	74.6	(12.8)
To be determined when the contract is expiring	14.0	(6.7)	20.2	(3.5)
Less strict than the first re-employment contract	0.4	(0.2)	1.1	(0.2)
More strict than the first re-employment contract	1.0	(0.5)	0.9	(0.2)
Re-employment contract cannot be renewed	1.0	(0.5)	3.1	(0.5)

Notes:
(1) Figures are based on private establishments offering re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total due to rounding.

Slight majority reported re-employment either in the same or different Job

5.3 A slight majority (55%) reported that employees could either be re-employed to the same or different job. Another 43% reported that their employees would be re-employed only to the same job, while a minority (2.2%) only offered re-employment to a different job (Chart 10).

Chart 10: Re-employment To Same Or Different Job, Oct – Dec 2010

Job Nature	Distribution of Employees %	Distribution of Employees %	Distribution of Establishments %	Distribution of Establishments %
Possible to be re-employed to same or different job	68.5	(32.8)	54.6	(9.3)
Re-employed to same job only	31.0	(14.9)	43.2	(7.4)
Re-employed to different job only	0.5	(0.3)	2.2	(0.4)

Notes:
(1) Figures are based on private establishments offering re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total due to rounding.

6 Re-employment Consultation and Offer of Re-employment

More companies engaged employees in re-employment consultation

6.1 The tripartite guidelines on re-employment of older employees recommend that employers engage employees on re-employment issues as early as possible, not less than 6 months prior to re-employment. Of the private establishments with re-employment policy in 2010, 61% conducted re-employment consultation with their retiring local employees, an increase from 41% in 2009. This included 31% which would conduct re-employment consultation at least six months before the employee reaches 62, up from 22% a year ago.

Chart 11: Months Before Local Employees Reach The Age Of 62 When Re-employment Consultation Takes Place, Oct – Dec 2010

Months	Distribution of Employees		Distribution of Establishments	
	%	%	%	%
Offer	74.1	(35.5)	60.9	(10.4)
< 1 month	-	(-)	-	(-)
1 < 2 months	2.0	(1.0)	3.0	(0.5)
2 < 3 months	5.5	(2.6)	8.0	(1.4)
3 < 4 months	17.0	(8.2)	17.9	(3.1)
4 < 5 months	1.3	(0.6)	0.6	(0.1)
5 < 6 months	-	(-)	-	(-)
6 < 7 months	32.0	(15.3)	21.4	(3.7)
7 < 8 months	0.1	(-)	0.1	(-)
8 < 9 months	0.1	(-)	0.1	(-)
9 < 10 months	2.8	(1.4)	0.7	(0.1)
10 < 11 months	-	(-)	-	(-)
11 < 12 months	-	(-)	-	(-)
12 months & above	13.1	(6.3)	9.1	(1.5)
Don't offer	25.9	(12.4)	39.1	(6.7)

Notes:
(1) Figures are based on private establishments offering re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total due to rounding.
(4) '-': nil or negligible

More informed employees of the re-employment offer at least three months and issued the contract at least two months before employees reach 62

6.2 The tripartite guidelines state that employers should offer re-employment contracts to eligible employees at least three months before retirement. The survey found that 67% of private establishments with re-employment policy would inform employees of the re-employment offer at least three months before they turn 62, up from the 61% reported a year ago (Chart 12).

Chart 12: Months Before Local Employees Reach The Age Of 62 When They Were Informed Of The Re-employment Offer, Oct - Dec 2010

Months	Distribution of Employees		Distribution of Establishments	
	%	%	%	%
< 1 month	-	(-)	-	(-)
1 < 2 months	12.0	(5.7)	18.4	(3.1)
2 < 3 months	11.6	(5.5)	14.3	(2.4)
3 < 4 months	55.1	(26.4)	40.7	(6.9)
4 < 5 months	1.3	(0.6)	1.0	(0.2)
5 < 6 months	0.1	(0.1)	0.2	(-)
6 < 7 months	15.6	(7.5)	18.6	(3.2)
7 < 8 months	-	(-)	-	(-)
8 < 9 months	-	(-)	-	(-)
9 < 10 months	0.2	(0.1)	0.2	(-)
10 < 11 months	-	(-)	-	(-)
11 < 12 months	-	(-)	-	(-)
12 months & above	4.1	(2.0)	6.7	(1.1)

Notes:
(1) Figures are based on private establishments offering re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total due to rounding
(4) '-': nil or negligible

6.3 Six in ten (60%) would issue the re-employment contract at least two months before the employee reach 62, up from the 49% reported a year ago.

Chart 13: Months Before Local Employees Reach The Age Of 62 When They Were Given The Re-employment Contract, Oct - Dec 2010

Months	Distribution of Employees		Distribution of Establishments	
	%	%	%	%
< 1 month	2.3	(1.1)	1.1	(0.2)
1 < 2 months	35.2	(16.8)	39.1	(6.6)
2 < 3 months	13.7	(6.6)	16.8	(2.9)
3 < 4 months	40.1	(19.2)	29.9	(5.1)
4 < 5 months	0.5	(0.2)	0.2	(-)
5 < 6 months	-	(-)	-	(-)
6 < 7 months	5.9	(2.8)	9.7	(1.6)
7 < 8 months	-	(-)	-	(-)
8 < 9 months	-	(-)	-	(-)
9 < 10 months	-	(-)	-	(-)
10 < 11 months	-	(-)	-	(-)
11 < 12 months	-	(-)	-	(-)
12 months & above	2.3	(1.1)	3.3	(0.6)

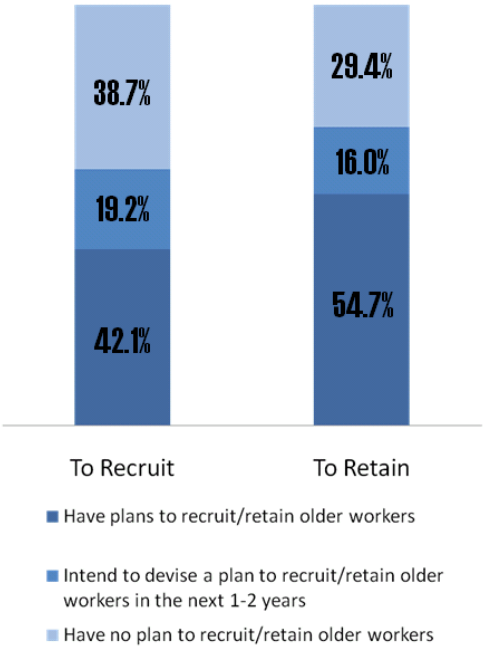
Notes:
(1) Figures are based on private establishments offering re-employment.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total due to rounding.
(4) '-': nil or negligible

7 Recruitment and Retention of Older Workers

More establishments had plans to retain older workers than to recruit them

7.1 More than five in ten (55%) private establishments reported that they had developed plans to retain their older employees aged 55 to 62. The proportion fell to four in ten (42%) for those with plans to actively recruit new older local workers.

Chart 14: Whether Establishments Have Plans to Recruit or Retain Older Local Workers Aged 55 To 62, Oct – Dec 2010



Notes:
(1) Figures are based on all private establishments surveyed.
(2) Figures may not add up to total due to rounding.

7.2 More establishments reported adopting a range of measures to retain rather than recruit older workers. The most common measure for retaining older workers was to introduce new roles and responsibilities (31% of all establishments). This was followed by redesigning jobs to make it more suitable for older workers (25%) and introducing training programmes to help these workers handle the job (24%). The proportion citing these were lower at 12%, 9.3% and 11% respectively in respect of recruitment of older workers. The most common plan cited for recruiting older workers was in reviewing employment practices to emphasise on hiring based on merit or ability (18%) (Chart 15).

Chart 15: Plans Developed To Recruit Or Retain Local Workers Aged 55 To 62, Oct – Dec 2010

	Distribution of Employees		Distribution of Establishments	
Actively Recruit	%	%	%	%
Reviews employment practices to emphasise on hiring based on merits	51.8	(29.5)	42.9	(18.1)
Introduces new roles and responsibilities for these workers	23.4	(13.3)	28.1	(11.9)
Introduces training programmes to help these workers handle the job	30.0	(17.1)	27.1	(11.4)
Introduces flexi-work arrangements to attract these workers to apply for the jobs	29.6	(16.8)	24.3	(10.2)
Redesigns jobs to make it more suitable for older workers	25.8	(14.7)	22.0	(9.3)
Restructures wage and benefit systems from seniority to performance or competency-based	22.6	(12.8)	18.4	(7.8)
Participates in job fairs targeted at these workers	25.1	(14.3)	15.1	(6.4)
Restructures medical benefits to improve the cost competitiveness of these workers	17.7	(10.1)	11.3	(4.7)
Retain	%	%	%	%
Introduces new roles and responsibilities for these workers	57.9	(40.3)	57.1	(31.2)
Redesigns jobs to make it more suitable for older workers	50.1	(34.9)	45.8	(25.1)
Introduces training programmes to help these workers handle the job	53.2	(37.1)	44.1	(24.1)
Restructures wage and benefit systems from seniority to performance or competency-based	41.2	(28.7)	38.4	(21.0)
Introduces flexi-work arrangements to attract these workers to apply for the jobs	44.2	(30.8)	37.7	(20.6)
Restructures medical benefits to improve the cost competitiveness of these workers	31.7	(22.1)	27.2	(14.9)

Notes:
(1) Figures are based on private establishments with plans to recruit/retain older workers aged 55 to 62.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total as private establishments could develop more than one plan.

7.3 The ability to retain existing staff was the most common reason for not developing a plan to recruit older workers, accounting for half (52%) of private establishments with no plans to actively recruit workers aged 55 to 62. Other common reasons included the ability to depend on existing staff to take up duties of staff who have left (25%) and available jobs require younger workers (22%) (Chart 16).

Chart 16: Reasons For Not Developing A Plan To Recruit Local Workers Aged 55 To 62, Oct to Dec 2010

Reasons	Distribution of Employees %	Distribution of Establishments %	Distribution of Employees %	Distribution of Establishments %
Retention of existing staff is not a problem	57.0	(24.5)	51.5	(29.8)
Can depend on existing staff to take up the duties of staff who have left	31.3	(13.5)	25.5	(14.7)
Available jobs require younger workers	17.5	(7.5)	22.1	(12.8)
Can recruit younger staff	20.6	(8.9)	19.8	(11.5)
Has not thought about the issue	10.8	(4.6)	13.5	(7.8)
Can employ foreign manpower	6.3	(2.7)	9.6	(5.6)
There is a large pool of workers aged 55 and above available	11.9	(5.1)	6.1	(3.5)
Can outsource jobs to local and overseas vendors	1.7	(0.8)	1.8	(1.1)

Notes:
(1) Figures are based on private establishments without plans to recruit older workers aged 55 to 62.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total as private establishments could quote more than one reason.

7.4 Close to one in four (23%) private establishments had redesigned jobs to make it more suitable for workers aged 55 to 62. Among the remaining establishments (77%) which did not redesign jobs, 56% reported that this was because workers in that age group do not face difficulties because of their age, while 27% reported that the establishment does not see the need to redesign jobs for workers in this age group (Chart 17).

Chart 17: Reasons For Not Redesigning Jobs to Make it More Suitable for Local Workers Aged 55 to 62, Oct to Dec 2010

Reasons	Distribution of Employees %	Distribution of Establishments %	Distribution of Employees %	Distribution of Establishments %
Employees aged 55 to 62 do not face difficulties in their jobs because of their age	69.2	(46.8)	56.1	(43.2)
Does not see the need to re-design jobs for employees aged 55 to 62	25.8	(17.5)	27.1	(20.9)
Does not have employees aged 55 to 62	4.7	(3.2)	12.2	(9.4)
Has not thought about this issue	8.2	(5.5)	11.8	(9.1)
Has concerns about the costs involved in job re-design	1.9	(1.3)	2.7	(2.1)
Does not know how to re-design jobs for employees	1.6	(1.1)	2.1	(1.6)
Does not have employees aged 55 to 62, but re-designed jobs for employees aged 40 to 54 instead	0.1	(0.1)	0.5	(0.4)

Notes:
(1) Figures are based on private establishments which did not redesign jobs for workers aged 55 to 62.
(2) Figures in brackets are based on all private establishments surveyed.
(3) Figures may not add up to total as private establishments could quote more than one reason.

8 Employment of Older Workers Beyond the Age of 62 in 2010

A vast majority of local employees who reached 62 stayed on

8.1 About one-third (32%) of private establishments had local employees reaching 62 in the year ending June 2010, involving some 9,900 local employees. This was an increase from the 30% and 9,400 local employees reported in 2009.

8.2 Among workers who reached age 62 in the year ending June 2010, a large majority or 94% of them were allowed to work beyond 62. 65% were allowed to continue working without a new contract and 30% were offered re-employment, mostly in the same job. Nearly all (96%) who were offered employment beyond 62 accepted the offer.

Table 1: Employment Beyond The Age Of 62 For Local Employees Retiring In The Year Ending June 2010

Per Cent

	Offered Employment beyond age 62			
	Overall	**Accepted**	**Rejected**	**Still Considering**
Among local employees who reached the age of 62 during the year ending Jun 2010				
Employment beyond age 62*	94.4	90.9	2.3	1.3
Re-employment	29.6	27.3	1.7	0.6
Re-employment in the same job	28.7	26.4	1.7	0.6
Re-employment in a different job	0.9	0.9	-	-
Allowed to continue working	64.8	63.6	0.5	0.6
Among local employees who were offered employment beyond age 62				
Employment beyond age 62*	100.0	96.3	2.4	1.3
Re-employment	100.0	92.0	5.9	2.1
Re-employment in the same job	100.0	91.9	6.0	2.1
Re-employment in a different job	100.0	95.5	3.4	1.1
Allowed to continue working	100.0	98.2	0.8	1.0

Notes:
(1) Figures are based on local employees who reached the age of 62 during 1 July 2009 to 30 Jun 2010.
(2) Figures may not add up to total due to rounding.
(3) '-': nil or negligible
(4) *This refers to all forms of employment beyond age 62 including re-employment in the same/different job and employment on existing contract.

9 Concluding Remarks

9.1 In summary, a large majority of establishments have put in place measures to allow their local employees to work beyond the age of 62, ahead of the implementation of the Retirement and Re-employment Act in January 2012. Nevertheless, there is scope for more establishments to engage their employees on re-employment issues. Finally, while most workers approaching 62 who are in employment would potentially be able to continue working beyond 62, the challenge remains in getting more employers to recruit older workers.

SURVEY COVERAGE & METHODOLOGY

Introduction

The Survey on Retirement and Re-employment Practices, 2010 was conducted by the Manpower Research and Statistics Department of the Ministry of Manpower from 27 September 2010 to 3 December 2010. The survey was conducted under the Statistics Act (Chapter 317).

Objective

The survey seeks to understand establishments' re-employment practices in preparation for the introduction of the re-employment legislation in 2012.

Coverage

The survey covered an effective sample of 3,100 establishments in the private sector (each with at least 25 employees), achieving a response rate of 90%. These establishments employed a total of 901,000 employees.

Methodology

The survey was conducted using mail questionnaires with clarifications made over the phone. Survey forms were returned either via internet submission or through mail, fax and e-mail.

Reference period

The information provided in the survey returns was based on the establishments' practice at the time of the survey.

Data Collected

The establishments were asked to provide the following information:

- Breakdown of the local employees by age and occupational groups
- Recruitment and retention of older employees
- Measures to allow local employees (exclude employees on term contract) to work beyond the age of 62
- Establishment's criteria for re-employment
- Establishment's pre-retirement planning and re-employment consultation

Classification

The industries of the surveyed establishments were classified according to the Singapore Standard Industrial Classification (SSIC) 2010.

CONCEPTS AND DEFINITIONS

Management and executives

This refers to employees who hold managerial and supervisory responsibilities. They may or may not have substantial influence over the hiring, firing, promotion, transfer, reward or discipline of employees. Also, they may or may not have access to confidential information.

Rank-and file

This refers to employees who are in the technical, clerical, sales, service, production, transport, cleaning and related positions. They are not employees in managerial or executive positions.

Employees aged 62 years old and above

This refers to employees who reached his/her 62nd birthday before or on 30 June 2010. Employees who have not reached his/her 62nd birthday before or on 30 June 2010 are to be categorised in the other age groups.

Re-employment

This is defined as the employment of employees (excluding those on term contract) who are aged 62 or above on a new employment contract, with or without any changes in terms and/or tenure.

Different job

This includes cases where the new job differs from the previous job in terms of job duties, responsibilities or grades. If an employee is re-employed with fewer working hours, but with no change in the nature of job, he should be considered as re-employed in the same job.

Satisfactory performance

This refers to the minimum level of performance any employee is expected to maintain in discharging his duties.

Re-employment consultation

This involves engaging retiring employees in discussion on their re-employment prospects. The discussions should cover possible re-employment arrangements, the competency training they may require should they be re-employed to a different job and the pay and benefits employees can expect upon re-employment.

RELIABILITY OF DATA

In a sample survey, inferences about the target population are drawn from the data collected from the sample. Errors due to extension of the conclusions based on one sample to the entire population are known as sampling errors. The sampling error of an estimate is the difference between the estimated value obtained from a sample and the actual value from the population. Factors influencing the sampling error include the sample size, the sample design, method of estimation, the variability of the population and the characteristics studied.

The most common measure of the sampling error of an estimate is its standard error, which is a measure of the variation among the estimates derived from all possible samples. An alternative measure is the relative standard error of an estimate which indicates the standard error relative to the magnitude of the estimate. A sample estimate and an estimate of its standard error can be used to construct an interval that will, at specified levels of confidence, include the actual value. About 68, 95 and 99 per cent of estimates from all possible samples will fall within the interval defined by one, two or three standard errors respectively on either side of the estimate. By statistical convention, the confidence level has been set at 95 per cent.

Estimates of the sampling variability of selected indicators are as follows:

			Standard	Relative	95%	
		Estimate	Error	Standard	Confidence Interval	
		(%)	%-pts	Error (%)	Lower (%)	Upper (%)
PROPORTION OF EMPLOYEES						
Age distribution of local management and executives	Below 40 yrs old	57.6	0.2	0.4	57.2	58.1
	40 to less than 55	34.4	0.2	0.5	34.0	34.7
	55 to less than 62	6.3	0.1	1.2	6.2	6.5
	62 yrs old and over	1.7	-	2.5	1.6	1.8
Age distribution of local rank and file employees	Below 40 yrs old	44.2	0.3	0.6	43.6	44.7
	40 to less than 55	36.9	0.2	0.6	36.5	37.3
	55 to less than 62	13.0	0.1	0.9	12.7	13.2
	62 yrs old and over	6.0	0.1	1.6	5.8	6.2
Measures to work past retirement: Employees working in establishments that…	Offer re-employment	46.5	0.4	0.8	45.8	47.3
	Allow continued employment past retirement	38.9	0.4	1.1	38.0	39.7
	Have no measures implemented	14.6	0.4	2.6	13.9	15.4
Re-employment policy: Employees working in establishments that…	Re-employment to same/diff job	32.8	0.3	1.0	32.2	33.5
	Re-employment to diff job	0.3	0.1	25.5	0.1	0.4
	Re-employment to same job	14.9	0.3	2.2	14.2	15.5

		Estimate (%)	Standard Error %-pts	Relative Standard Error (%)	95% Confidence Interval Lower (%)	Upper (%)
Re-employment criteria	Work Performance	46.7	0.4	0.8	45.9	47.5
	At lest satisfactory	39.5	0.4	0.9	38.7	40.2
	Better than satisfactory	7.2	0.2	2.8	6.8	7.6
	Other minimum work performance grade	-	-	0.4	-	-
	Medical fitness	45.8	0.4	0.9	45.0	46.5
	Fitness assessment by doctor	36.3	0.3	1.0	35.6	37.0
	Fitness assessment by supervisor	1.6	0.1	8.8	1.3	1.8
	Fitness assessment by supervisor; assessment by doctor is required only when supervisor is uncertain	7.3	0.2	3.2	6.8	7.7
	Other required fitness criteria	0.7	-	0.4	0.7	0.7
PROPORTION OF ESTABLISHMENTS						
Establishments with mature management and executives	Below 40 yrs old	79.5	0.7	0.9	78.0	80.9
	40 to less than 55	88.4	0.6	0.7	87.3	89.6
	55 to less than 62	52.4	0.9	1.6	50.7	54.1
	62 yrs old and over	29.1	0.8	2.6	27.6	30.6
Establishments with mature rank and file employees	Below 40 yrs old	84.1	0.7	0.8	82.8	85.4
	40 to less than 55	87.8	0.6	0.7	86.6	89.0
	55 to less than 62	65.7	0.8	1.2	64.1	67.4
	62 yrs old and over	47.5	0.8	1.8	45.8	49.2
Measures to work past retirement	Offer re-employment	17.1	0.6	3.3	16.0	18.2
	Allow continued employment past retirement	60.8	0.8	1.4	59.1	62.5
	Have no measures implemented	23.4	0.7	3.2	22.0	24.9
Re-employment policy	Re-employment to same/diff job	9.3	0.4	4.5	8.5	10.2
	Re-employment to diff job	0.4	0.1	29.2	0.2	0.6
	Re-employment to same job	7.4	0.4	5.5	6.6	8.2
Re-employment criteria	Work Performance	15.9	0.5	3.4	14.8	17.0
	Performance must be satisfactory	12.2	0.5	3.9	11.3	13.2

		Estimate (%)	Standard Error %-pts	Relative Standard Error (%)	95% Confidence Interval Lower (%)	Upper (%)
	Performance must be better than satisfactory	3.6	0.3	7.9	3.1	4.2
	Other minimum work performance grade	-	-	-	-	-
	Medical fitness	15.6	0.5	3.4	14.6	16.7
	Fitness assessment by doctor	10.6	0.4	3.9	9.8	11.4
	Fitness assessment by supervisor	1.6	0.2	13.9	1.2	2.1
	Fitness assessment by supervisor; assessment by doctor is required only when supervisor is uncertain	3.4	0.3	8.8	2.8	4.0
	Other required fitness criteria	-	-	-	-	-

Note: Estimates are based on all private establishments surveyed.

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Title of Report: Retirement and Re-employment Practices, 2010

1. How would you rate this report in terms of :

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_____

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_____

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